

2.35 Materials Consumed: Materials consumed represent the total delivered value of all items of raw materials, components, chemicals, packing materials and stores which actually entered into the production process of the factory during the accounting year. Components and accessories fitted as purchased with the finished product during the accounting year are also to be included. It excludes intermediate products. Intermediate products in the above context mean all those products which are produced by the factory and consumed for further manufacturing process.

2.36 Total Input: This comprises gross value of fuels, materials etc. consumed (as defined above) and also other inputs viz. (a) cost of non-industrial services received from others, (b) cost of materials consumed for repair and maintenance of factory's fixed assets including cost of work done by others to the factory's fixed assets, (c) cost of contract and commission work done by others on materials supplied by the factory, (d) cost of office supplies and products reported for sale during last year & used for further manufacture during the accounting year and (e) rent paid for buildings and plant & machinery and other fixed assets, (f) expenses on Research & Development (R&D).

2.37 Intermediate Product: Intermediate Product is a product which is obtained and consumed during a manufacturing process, which may or may not be saleable and is not the intended final product.

2.38 Net Value of Semi-finished Goods: It represents the excess/deficit of value of semi-finished goods and/or goods-in-process at the end of the accounting year over that at the beginning of year.

2.39 Products: These are defined to include the ex-factory value (i.e. exclusive of taxes, duties etc. on sale and inclusive of subsidies etc., if any) of all products and by-products, excluding intermediate products, that have been completed during the accounting year for sale whether actually sold during the accounting year or entered into inventory. Products also include fixed assets produced by the factory for its own use.

2.40 Gross Output: Gross output is defined to include the ex-factory value, (i.e., exclusive of taxes, duties, etc. on sale and inclusive of subsidies etc., if any) of products and by-products manufactured during the accounting year, and the net value of the semi-finished goods, value of own construction and also the receipts for industrial and non-industrial services rendered to others, rent received for building, plant & machinery and other fixed assets, net balance of goods sold in the same condition as purchased, value of electricity generated and sold and an amount equal to expenses on research & development (R&D). Value of gross output and total output has been used in the text inter-changeably to mean the same thing.

2.41 Industrial Services: Any services taken or rendered from one to another unit resulting in increase in the value of material during the manufacturing process are industrial services.

Concepts, Definitions and Procedures

2.42 **Non-industrial Services:** All such services which do not have a direct bearing on the manufacturing process but are needed by any manufacturing unit are called non-industrial services, say, transport services.

2.43 **Gross Value Added (GVA):** Gross value added is defined as additional value created by the process of production. This is calculated by deducting the value of total input from gross value of output.

2.44 **Net Value Added (NVA):** This is obtained by deducting the value of total input and depreciation from gross output.

2.45 **Net Income:** It is obtained by deducting the value of rent paid & interest paid from the combined values of NVA.

2.46 **Profit:** It is obtained by deducting compensation of employees (*see* 2.27) from net income.

Chapter Three

ASI Schedule

3.0 As mentioned in *Chapter One*, ASI Schedule has two parts: Part-I and Part-II. Part-I of ASI schedule aims to collect data on assets and liabilities, employment and labour cost, receipts, expenses, input items – indigenous and imported, products and by-products, distributive expenses etc. Part-II of ASI schedule aims to collect data on different aspects of labour statistics, namely, working days, mandays worked, absenteeism, labour turnover, man-hours worked, earning and social security benefits.

The details of the schedules are discussed below.

Part – I of ASI Schedule

3.1 **Summary Description of the Schedule:** The schedule, sometimes called as *return*, has three parts. The Part-I, structured in 14 blocks, is the main part of the schedule and is meant for collection of economic and related categorical data of the selected unit. The other two parts of the schedule, marked as Part-A and Part-B, are meant for recording the report of scrutiny on Part-I of the return and observations of the Scrutinising Officer against certain items framed in respect of the data collected in Part-I of the schedule. A copy of the schedule is given in *Annexure V*. Since most of the information contained in this schedule is collected from the audited financial statements viz. Balance Sheet and Profit & Loss (PL) Account of the selected factory, a statement highlighting the correspondences between items of the financial statements and items of ASI schedule is given as a ready reference in *Annexure VI* to facilitate the collection of information.

3.1.1 The first block, viz. Block A, is used to record identification of selected unit. Similarly, the last two blocks, viz., Blocks M & N, are again the usual blocks to record the particulars of field operations and remarks of superintending/scrutinizing officer, respectively. Of the remaining 11 blocks, Block B is for recording the particulars of the factory like name and address of the individual unit, type of organisation, year of initial production, etc. The remaining blocks (Blocks C to L) are meant for recoding the economic particulars of the selected unit and brief particulars are given below:

3.1.2 **Blocks C: fixed assets:** Fixed assets are those,

- which have generally normal productive life of more than one year; these are capital items which are repeatedly used in the process of production over the duration of life of the fixed assets;
- it covers all type of assets, new or used or own constructed, deployed for productions, transportation, living or recreational facilities, hospitals, schools, etc. for factory personnel;
- it would include land, building, plant and machinery, transport equipment, etc.;

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- it includes the fixed assets of the head office allocable to the factory and also the full value of assets taken on hire-purchase basis (whether fully paid or not) excluding interest element;
- it excludes intangible assets except computer software as per ASI schedule.

3.1.3 Block D: working capital and loans: This is defined to include all physical inventories owned, held or controlled by the factory as on the closing day of the accounting year such as the materials, fuels and lubricants, stores, etc. that enter into products manufactured by the factory itself or supplied by the factory to others for processing. Physical working capital also includes the value of stock of materials, fuels and stores, etc. purchased expressly for re-sale, semi-finished goods and goods-in-process on account of others and goods made by the factory which are ready for sale at the end of the accounting year. However, it does not include the stock of the materials, fuels, stores, etc. supplied by others to the factory for processing. Finished goods processed by others from raw materials supplied by the factory and held by them are included and finished goods processed by the factory from raw materials supplied by others, are excluded.

3.1.3.1 Outstanding loans represent all 'more than one year' loans, whether interest bearing or not, outstanding according to the books of the factory as on the closing day of accounting year.

3.1.4 Block E: employment and labour cost: In this block, emoluments of the employees are to be collected. Emoluments are defined as wages paid to all employees *plus* imputed value of benefits in kind, i.e., the net cost to the employers on those goods and services provided to employees free of charge or at markedly reduced cost which are clearly and primarily for benefit to the employees as consumers. It includes profit sharing, festival and other bonuses and ex-gratia payments paid at less frequent intervals (i.e. other than bonus paid more or less regularly for each period). Benefits in kind include supplies or services rendered such as housing, medical, education and recreation facilities. Personal insurance, income tax, house rent allowance, conveyance, etc. for payment by the factory are also included in the emoluments.

3.1.5 Block F: other expenses: This block includes the cost of other inputs as both the industrial and non-industrial service rendered by others, which are paid by the factory and most of which are reflected in the ex-factory value of its production during the accounting year.

3.1.6 Block G: other output or receipts: In this block, information on other output/receipts is to be reported.

3.1.7 Block H: indigenous input items consumed: This block covers all the goods (raw materials, components, chemicals, packing material, etc.) which entered into the production process of the factory during the accounting year.

3.1.8 Block I: imported input items consumed: Information in this block is to be reported for all directly imported items consumed. The items are to be imported by the factory directly.

3.1.9 Block J: products and by-products manufactured by the unit: It includes information on all goods that have been produced by the factory during the accounting year for sale, i.e., either actually sold during the accounting year or entered into stocks.

3.1.10 Block K: information and communication technology (ICT) usage: It includes information on IT usage by the enterprise.

3.1.11 Block L: energy conservation (EC) measures: It includes information regarding the measures taken by the enterprise for energy conservation.

3.1.12 While all other blocks in ASI schedule relate to the production (manufacturing) process, the Blocks K and L relate to the entire establishment.

3.1.13 Block M: particulars of field operations: The name of the Superintending Officer and Scrutinising Officer associated with the compilation of the schedule, date of receipt from the factory, date of verification/ compilation/ scrutiny of schedules, despatch, etc., will be recorded in this block against the appropriate items in the relevant columns.

3.1.14 Block N: comments of Superintending Officer and Scrutinising Officer: Any remark which is considered necessary for explaining any peculiarity in the economic variables or any other item-specific unusual feature of the unit will be noted here. Such remarks will help in understanding the entries made in different blocks of the schedule, especially when any entry is numerically very high or very low in relation to other entries recorded for the unit or as compared to the entries for the same recorded last year or entry is unusual.

Detailed Instructions for each Item

3.2 Block A: identification particulars of unit

3.2.0 This block has been designed to collect the descriptive identification of the sample enterprise. The items are mostly self-explanatory.

3.2.1 Block A, item 1: schedule despatch (DSL) no: With a view to reconciling the despatch of filled-in schedules by FOD field offices vis-à-vis receipt of the same by IS Wing, DQAD, a unique Despatch Serial Number (DSL) has been provided for all the selected units both under Census scheme and Sample scheme and the same is to be reported by the field staff of FOD both in Parts I & II. **DSL numbers are unique across the country for a particular year of survey.** However, the same factory may have different DSL numbers in different years of survey.

3.2.2 Block A, item 2: permanent serial number (PSL): The Permanent Serial Number (PSL) is provided by FOD offices while collecting the list from CIF and duly numbered list is sent to IS Wing, DQAD for updation of frame. **This number is unique in State x Sector x 4-digit Industry code (NIC).** Permanent Serial Numbers have been provided for all the factories selected both under Census and Sample; and the same is to be reported by the field staff of FOD both in Parts I & II.

3.2.3 **Block A, item 3: scheme code:** This is the code usually given for census and sample units as per sampling design. The census units will be given code 1 and sample units will be given code 2. **Note that for State Sample, it will be always 2.**

3.2.4 **Block A, item 4: industry code as per frame:** This is the 4-digit industry code assigned to a unit in the frame of ASI from which sample selection is done for a particular year of ASI. The code is given as per appropriate coverage of industry codes based on NIC-2008, which is given in *Annexure VII*. This code will be provided along with the sample list by IS Wing, DQAD.

3.2.4.1 This code is dynamically updated for the units selected in Central Sample of the current year survey through ASI Web Portal, based on the *item 5 of Block – A (industry code as per return)*, explained below. For the non-selected units, this code should be updated by the NSO (FOD) officials during the frame updation of the subsequent year through ASI Web Portal, based on the validated information available with the field officials of NSO (FOD) and/or information available with State/UT DES and/or any other reliable sources, duly examined and validated by NSO (FOD). Proper care should be taken for updation of industry code. The code, valid as per NIC-2008, but outside the coverage (not available in the codes mentioned in *Annexure VII*), if provided, considered as outside the coverage of ASI and should not be considered for selection in ASI in the subsequent years.

3.2.5 **Block A, item 5: industry code as per return:** This code should be given as per maximum ex-factory value of major product out of the multiple products and by-products manufactured by the units. A valid 5-digit code needs to be given based on NIC 2008.

3.2.5.1 For manufacturing servicing units (job work units), it is very common that no entries are available in Block – J (*Products and by-products manufactured by the unit*). In such cases, appropriate code would be provided as per the maximum value of output, available in Block – G (*Other output/receipts*).

3.2.5.2 Sometimes it is observed that, a unit, which is engaged in repair and maintenances of vehicles, also sells vehicles, which is nothing but the trading activities, where the value of output is significantly higher than the activities of repair and maintenances. In such scenario, the appropriate code relating to the activity of repair and maintenances is to be reported here. If the unit does not engage in the activity of repair and maintenances of vehicles and shifted its activity to the selling of vehicles (i.e. trading activities), the status code of the unit (*see 3.2.12*) is to be reported as “Deleted (04)” and appropriate industry code would be provided here, so that, such units are not considered in ASI survey in the current year as well as in the subsequent years of ASI survey, as such activity is outside the purview of ASI.

3.2.5.3 The appropriate code would be decided for multi-activity units (i.e. having multiple products & by-products manufactured by the unit as well as providing services), based on the maximum of the value of the output of the activities, available in Block – G & J of the schedule.

3.2.6 **Block A, item 6: description of industry:** The description of the industry to which the unit belongs will be indicated, as per code provided in item 5 of Block – A, in the space provided as per description given in NIC 2008.

3.2.7 **Block A, item 7: state code:** The code has been provided for all the selected factories both under Census and Sample and the same is to be reported both in Parts I & II.

3.2.8 **Block A, item 8: district code:** The code has been provided for all the selected factories both under Census and Sample and the same is to be reported both in Parts I & II.

3.2.9 **Block A, item 9: sector:** This code is to be given in the field according to the location of the units, decided as per the latest available administrative order issued by appropriate Government. The code for units located in the rural areas is 1 and for that in the urban areas is 2. No other code except 1 and 2 can be given here; nor should it be left blank.

3.2.10 **Block A, item 10: RO/SRO code:** This item is relevant for Central Sample only. The code has been provided for all the selected factories both under Census and Sample and the same is to be reported by the field staff of FOD both in Parts I & II. **For state sample, this item should be left blank.**

3.2.11 **Block A, item 11: number of units:** Number of units for which the schedule (return) is compiled will be recorded against this item. Here the number of units will be greater than 1 in the case of joint returns only. Also, in the case of joint returns, proper DSL and PSL numbers for which the joint return is compiled should be properly recorded.

The Joint Return (JR) should only be compiled in the following cases:

- (i) The units must be having the same State code;
- (ii) The units should have the same management;
- (iii) Separate unit-wise accounts are not available and only combined accounts are available;
- (iv) Resources that go into the manufacturing activity in the units are not separately identifiable;
- (v) The units must have the same industry group at 3-digit NIC level, but satisfy the aforementioned conditions. However, all the units included in Joint Return must be engaged in manufacturing, and if the combined accounts include accounts of units engaged in activities outside the purview of manufacturing activities, those should be excluded from the joint return.

Note that formation of 'Joint Return' as defined above is done only at the stage of updation of frame by FOD (i.e., before selection of samples), and in no case is allowed at the post sample selection. That is, the **unit(s) belonging to the Census Scheme will not be the joint unit with a unit of Sample Scheme or all units belonging to the Sample Scheme should not be joint among themselves even if the above said conditions are satisfied at the post sample selection stage.** If such a situation arises, due to inclusion of units coming from the supplementary frame for that year, information pertaining to the unit(s) of Sample Scheme needs to be suitably apportioned and separate return should be filled in for each of them. **Only Census Scheme units are allowed to form Joint Return during the survey stage, if such situation arises, provided all such aforementioned criteria hold good.**

Thus, in case of Sample Scheme, the number of units will be always 1. Hence, for State Sample, the number of units will be always 1.

Let us consider an example where in the sample selected for ASI 2020-21, it is found that 5 units U₁, U₂, U₃, U₄ and U₅ belong to the CENSUS scheme with same JR code. During data collection for ASI 2020-21 in the field, it is found that other 2 units U₆ and U₇ belonging to the SAMPLE scheme satisfy all the necessary conditions of JR with that of 5 units U₁, U₂, U₃, U₄ and U₅ belong to the CENSUS scheme and a combined return is available. For ASI 2020-21 survey, information in respect of U₆ and U₇ are to be segregated first, and a single joint return will be submitted for U₁, U₂, U₃, U₄ and U₅ only. Separate returns are to be filled in for U₆ and U₇, if selected for ASI 2020-21. However, during the frame updation for ASI 2021-22, U₆ and U₇ need to be assigned the same JR code as for U₁, U₂, U₃, U₄ and U₅ so that all the 7 units are considered as Census units and a single consolidated return is to be submitted for U₁, U₂, U₃, U₄, U₅, U₆ and U₇ during ASI 2021-22 survey.

Let us consider another example where in the sample selected for ASI 2020-21, it is found that 5 units U₁, U₂, U₃, U₄ and U₅ belong to the CENSUS scheme with same JR code. During data collection for ASI 2020-21 in the field, it is found that other 2 units U₆ and U₇ selected for the survey belong to the CENSUS scheme satisfying all the necessary conditions of JR with that of 5 units U₁, U₂, U₃, U₄ and U₅ belong to the CENSUS scheme and a combined return is available. For ASI 2020-21 survey, a single joint return will be allowed to submit for U₁, U₂, U₃, U₄, U₅, U₆ and U₇ only.

3.2.12 Block A, item 12: status of units: This item will be recorded in codes. The codes used for 'status of unit' are given below:

Open	1
Existing with fixed assets and maintaining staff but not having production	2
Existing with fixed assets but not maintaining staff and not having production	3
Deleted (including cases of status code 3 for 3 years or more or non-existence or de-registration or out of coverage or any other suitable reason for which deletion from frame is proposed by NSO (FOD))	4
Existing but non-response due to closure and owner / occupier is not traceable	5
Non-response due to production not yet started or accounting year not closed during the year	7

Non-response due to other reasons [incl. relevant records are with

Court / Income tax or recalcitrant/refuse to submit the return,

or factory under prosecution in respect of earlier ASI/ 8

The following may be noted:

- A unit will be assigned code 2 only if the information relevant for such units such as assets, employee etc. are available. On the other hand, if the unit is existing but no information is available due to closure and owner/occupier is not traceable, the unit will be assigned the code 5.
- A unit will be assigned code 3 only if the unit is having continuous status of code 2 for three consecutive years **or** it has no production and not maintaining the staff but having information in respect of assets is available. Else, it will be assigned code 5.
- A unit is considered for deletion and code 4 will be assigned if the unit is having continuous status of code 3 for three years or more **or** non-existence of the unit as well as owner not traceable **or** de-registered arising out of operational aspects only and not due to the amendment of Factories Acts/Rules thereof **or** out of coverage, and proposed by FOD for deletion from the frame.
- Code 7 will be assigned in the cases where a new unit has not started its production or did not close the account during the accounting year.
- If status of unit is '1' (i.e. open), Blocks A, B, C, D and E must be filled in.
- If status of unit is '2', Blocks A, B, C and E must be filled in.
- If status of unit is '3', Blocks A, B and C must be filled in.
- If status of unit is other than '1' / '2' / '3', Block A must be filled in.

No code other than the above mentioned codes can be given here.

A table showing the status of unit codes along with their treatment in calculating weights (multiplier) is given in *Annexure IX*.

3.3 **Block B: particulars of the factory (to be filled by owner of the factory)**

3.3.0 This block has been designed to collect the particulars of the sample enterprise. This point onwards, all the facts and figures in this return are to be filled in by the owner of the factory.

3.3.1 **Block B: item 1: name and address of the industrial undertaking:** The name of the unit along with the village/town name, district name, state name and pin code is to be filled up neatly, so that the unit should be identified accurately. Note that any change of name undergone by the factory is to be reported with new name and old name is to be mentioned at the below for reference.

3.3.2 **Block B: item 2: type of organisation:** This item is to be recorded in codes which are given below:

- a) Individual Proprietorship -1
- b) Partnership -2
- c) Limited Liability Partnership -3
- d) Government Company-Public -4
- e) Government Company-Private -5
- f) Non-Government Company-Public -6
- g) Non-Government Company-Private -7
- h) Co-operative Society -8
- i) Others (including Joint Family (HUF),
Trusts, Wakf Boards, Handlooms,
KVIC etc.) -9

The following may be noted for recording entry here:

Type of Organisation	Description
Proprietary	Here, an individual is the sole owner of the enterprise.
Partnership	It means relation between persons who have agreed to share the profits of a business carried on by all or any one of them acting for all.
Limited Liability Partnership (LLP)	It is an alternative corporate business form that gives the benefits of limited liability of a company and the flexibility of a partnership. It can continue its existence irrespective of changes in partners. It is capable of entering into contracts and holding property in its own name. It is a separate legal entity, is liable to the full extent of its assets but liability of the partners is limited to their agreed contribution in the LLP. Further, no partner is liable on account of the independent or un-authorized actions of other partners, thus individual partners are shielded from joint liability created by another partner's wrongful business decisions or misconduct.
Government Company-Public	It is a company where paid-up share capital of the appropriate Government (Central/ State/ Local) is not less than 51% and number of shareholders is at least 7 and no upper limit for number of shareholders.
Government Company-Private	It is a company where paid-up share capital of the appropriate Government (Central/ State/ Local) is not less than 51% and number of shareholders (including the Government) is at least 1 and maximum number of shareholders is 200.
Non-Government Company-Public	It is a company where paid-up share capital of the appropriate Government (Central/ State/ Local) is less than 51% and number of shareholders is at least 7 and no upper limit for number of shareholders.
Non-Government Company-Private	It is a company where paid-up share capital of the appropriate Government (Central/ State/ Local) is less than 51% and number of shareholders is at least 1 and maximum number of shareholders is 200.

Type of Organisation	Description
Co-operative society	It is a society formed through the co-operation of a number of persons (members of the society) to benefit the members. The funds are raised by members' contributions/ investments, and the members share the profits. The government or government agency can also be a member or shareholder of a registered co-operative society but this fact cannot render the society into a public sector enterprise for the purpose of the survey.
Others	These are the enterprises not falling under any of the above categories.

3.3.3 **Block B: item 3: Corporate Identity Number (CIN):** CIN, a 21 digit alphanumeric code, provided by the M/o Corporate Affairs on the basis of the registration of unit under the Companies Act, if available, should be provided. If the same is not available, the reason of non-availability should be reported. The structure of CIN is given below for better understanding:

Digit No.	What it shows	Remarks
1st digit	Listing status	If Company is Listed it will start with 'L' and if Company is not Listed it will start with 'U'
Next 5 digit	Industry code	Based on NIC-2004
Next 2 digit	State code	i.e. MH for Maharashtra.
Next 4 digit	Year of incorporation	i.e. for Company formed in Calendar Year 2011 the same will be 2011
Next 3 digit	Ownership code	PLC for Public Limited Company, PTC for Private Limited Company etc.
Last 6 digit	ROC reg.	i.e. 090868 for ROC- Mumbai

Ownership codes in CIN are given as follows:

GOI	Union Government company
SGC	State Government company
PLC	Public limited Indian Non-government Company
PTC	Private limited Indian Non-government Company
FLC	Public limited foreign company incorporated in India
FTC	Private limited foreign company incorporated in India
ULL	Unlimited liabilities Public
ULT	Unlimited liabilities Private
GAP	Guarantee & Association Public

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GAT Guarantee & Association Private

NPL Section 25 company

CIN is to be filled in only for those units for which type of organisation code is 4, 5, 6 or 7.

3.3.4 Block B: item 4: whether the unit has ISO Certification, 14000 Series: If the unit is having ISO Certificate of 14000 series, code 1 will be recorded, otherwise code 2 will be recorded. Note that the certification must be of 14000 series for recording 'yes'. If for a factory, the ISO Certification 14000 series does not apply, it should be given the code 2. A brief write up on ISO 14000 series is given at *Annexure X*.

3.3.5 Block B: item 5: year of initial production (in the format YYYY): The year of initial production for the factory (and not the year of the completion of factory) is to be recorded here. Note that:

- The year of initial production is to be decided irrespective of change in site or ownership or new registration
- The year of production relates to commercial production and not for pretesting purpose.

3.3.6 Block B: item 6: accounting year (in the format YYYY to YYYY): The accounting year for which the return relates to, is to be reported here. For example, if the factory follows financial year from 1.4.2020 to 31.3.2021 as accounting year, then record 2020 to 2021. In the case of amalgamated accounts (say, for more than 12 months), the appropriate period are to be reported. It is to be noted that for such units, the accounting year should be closed on or before 31.03.2021, i.e. within the reference period under consideration.

3.3.6.1 It is also to be noted that, in case of amalgamated accounts (say, for more than 12 months), full value figures are to be provided for all the blocks except mandays worked, mandays paid, absenteeism etc. In such cases, mandays worked, mandays paid, absenteeism etc. are to be reported pertaining to the reference period only.

3.3.7 Block B: item 7: number of months of operation: This item is to record the total number of months in which the factory/industrial concern operated during the accounting year. The figure reported here must have a consistency with the manufacturing and non-manufacturing days given in Block-E (employment and labour cost).

3.3.7.1 For amalgamated accounts (say, for 18 months), this item has to be reported as 18 and full value figures (of 18 months) are to be provided for all the blocks except mandays worked, mandays paid, absenteeism etc. In such cases, mandays worked, mandays paid, absenteeism etc. are to be reported pertaining to the reference period only.

3.3.8 Block B: item 8: whether the share capital of the company includes share of foreign entities?: It relates to the availability of foreign investment in the unit. If the share capital of the unit includes share of foreign entities, code 1 will be recorded in such cases. Otherwise, code 2 will be recorded.

3.3.9 Block B: item 9: any R&D unit in your factory?: It relates to the existence of Research and Development (R&D) unit in the factory, which are engaged for activities in connection with innovation. If available and registered with Department of Science & Technology (DST)/ Department of Biotechnology (DBT), Govt. of India, code 1 will be reported. If such R&D units are available but registered with agencies other than DST/DBT, code 2 will be reported. Otherwise, code 3 will be recorded. This information is specific to the unit/establishment being surveyed, i.e. when the account of the R&D unit is integrated with that of the unit/establishment being surveyed, then only such information is to be recorded here.

3.3.10 Block B: item 10: details of the contact person: The name & designation along with his/her telephone number, fax number and e-mail address used for the purpose of the unit will be written in the appropriate boxes.

3.3.11 Block B: item 11: whether the unit offered any formal training (Yes/No): If the establishment has offered any formal training to their permanent or contractual employees during the financial year has to be reported here, code 1 will be recorded in such cases. Otherwise, code 2 will be recorded. Here any structured vocational or technical training of at least 200 hours being provided to permanent or contractual employees/staff may be construed as 'formal training' at the workplace.

3.4 Block C: land and fixed assets

3.4.0.1 Fixed assets are of a permanent nature having a productive life of more than one year, which are meant for earning revenue directly or indirectly and not for the purpose of sale in ordinary course of business. They include assets used for production, transportation, living or recreational facilities, hospital, school, etc. Intangible fixed assets like goodwill, preliminary expenses including drawing and design etc. are excluded for the purpose of ASI. The fixed assets have, at the start of their functions, a definite value, which decreases with wear and tear. The original cost less depreciation indicates that part of value of fixed assets, which has not yet been transferred to the output. This value is called the residual value. The value of a fixed asset, which has completed its theoretical working life should always be recorded as Re.1/-. The re-valued value is considered now. But depreciation will be taken on original cost and not on re-valued cost.

3.4.0.2 Fixed assets acquired through others should be valued at full cost incurred, i.e. at the delivered price plus cost of installation including any fees or taxes paid but excluding financing cost if any, like interest paid to bank. The purchased assets may be new or old ones. A fixed asset may be sold or discarded during the accounting year. In such a case, the book value of the fixed asset sold or discarded should be considered. If depreciation of earlier years is shown in balance sheet, it may be adjusted in the opening depreciation value.

3.4.0.3 Fixed (or produced) assets will **include:**

- 1) Assets used for production, transportation, living or other facilities (recreation, etc.). Full value of assets taken on hire purchase/ installment (whether fully paid or not) *excluding interest* should be considered;

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- 2) Assets used for post-manufacturing activities such as, sale, storage, distribution, etc.;
- 3) Additions to fixed assets including major repairs which add significant value to the working life of the fixed asset (**as distinct from minor repair work**) during the reference year are to be included.

3.4.0.4 Fixed assets will **not include**:

- 1) Intangible assets like goodwill, preliminary expenses including drawing and design etc.;
- 2) Advance payment for fixed assets not yet received;
- 3) Copy Right, Mining Lease Right etc. if shown in Balance Sheet. However, these are to be included under operating expenses if same appears in Profit and Loss Account.

3.4.0.5 In case a factory has land/buildings in other State, and no economic activity is carried out in the land/ building located in other State, then it should be recorded in Block C as it is owned by the factory. On the other hand, if any economic activity is carried out, it will be treated as a separate production unit and will not be considered in the return for the factory under consideration.

3.4.0.6 For estimating the total fixed assets in the factory sector, the ownership-approach (including the owner-like possession, like long-term lease) is followed in ASI, i.e., all assets owned by the factory and recorded in the balance sheet, irrespective of whether they have been completely rented out or not for the part of/entire accounting year, is to be accounted in Block C.

3.4.0.7 In the case of an operational lease, the ownership lies with the lessor and hence such leased-in fixed assets are not to be considered in Block C. However, in the case of a financial lease, though the legal owner of the asset is the lessor, the economic ownership lies with lessee. That is, the lessee has the user right on the asset by mutual agreement. Thus in the case of financial leases, the full value of the asset is to be recorded in Block C. The rent received for it, however, should be taken in Block G.

3.4.0.8 Operating leasing is a productive activity that involves renting out fixed assets for terms less than the expected service lives of the assets. It is a form of production in which the lessor provides a service to the lessee in exchange for the lease payments.

3.4.0.9 Financial leasing is an arrangement for financing acquisitions of fixed assets. It is a contract between a lessor and a lessee whereby the lessor owns a fixed asset and puts it at the disposal of the lessee, and the lessee contracts to pay rentals that permit the lessor to recover all or almost all of its costs, including interest.

3.4.1 Block C: item 1: land: Land is a gift of nature and the supply of land is limited. It is not subjected to depreciation unless it is subjected to depletion such as mines and timber land. Land is one of the four factors of production and in a balance sheet of a manufacturing concern, the monetary value of land is shown in general apart from monetary value of other fixed assets. The book value of land, as such, at the beginning and at the closing is the same, unless new land is purchased during the accounting year.

3.4.1.1 Land may be freehold, purchased, rented or leasehold. The term freehold is used in two different senses:

- a) Land obtained directly from the state without any intermediary and the land revenue is payable directly to the Government. This type of freehold land has book value.
- b) Land obtained, free of cost from any other source, may be an ancestral property. *This freehold land has no book value in the books of accounts of the enterprise.*

3.4.1.2 For purchased land, the book value at the opening and at the closing is the same. For rented land, no book value is shown in the balance sheet. The long-term lease hold land (perpetual lease), like owned land, should be included and the value of lease amount should be recorded in Block C. *On the other hand, the short-term lease hold land will not be considered in Block C, and only the rent, if paid during the reference period, should be recorded in Block F.*

3.4.1.3 This will also include improvement to land such as construction of approach road, boundary walls, sewerage, etc. However, if only a portion of the land belonging to the residence of a household is utilized for the enterprise, only that portion of the land may be considered as capital assets for the enterprise. Land owned with permanent heritable possession with or without right to transfer the title would come under this item. *For encroached land, market value will be recorded. Land used for cultivation within factory premises, as well as the income generated from that activity, will be excluded.*

3.4.2 Block C: item 2: building: Building includes:

- Building for workshops and buildings utilized for production, office and housing;
- Parts and conveniences that facilitate the housing activity in them such as lifts, stairways, heating, lighting and communication system (**not equipments**) internal to the building, fire precaution system, capital expenses on telephone system to factory building, air conditioning plant only when installed primarily to provide better working condition to the operative and essential devices for watering raw materials or products;
- *Window type air conditioners should not be considered here instead it would be considered against Item 7;*

- Other constructions such as passage, boundary wall, partition, water tank (over-head/ underground), sewerage, tube-well, etc. that are integral to the factory building are to be included here;
- In case of partnership or proprietary concerns, residential flat or building meant exclusively for residence of owner/proprietor who is not an employee of the factory, will not be considered as a business asset and hence the same should be excluded from ASI. *However, if the owner/proprietor is an employee of the factory, or the same residential flat or building is also used for production purpose or for the residential/welfare purposes of other employees of the factory too, it is to be recorded against 'buildings' in Block C;*
- In some balance sheet, the value of shares in co-operative housing society (within Industrial Estate) is often shown. *Care should be taken not to include the same in ASI return;*
- If the value of land and building is jointly reported in the balance sheet, effort should be made to apportion the values of land and building and report against appropriate items.

3.4.3 Block C: item 3: plant and machinery: Plant and machinery **include:**

- Equipment for execution of work. It includes power generating machinery, construction machinery, metal working machinery, furnaces, metal cutting lathes, blast furnaces, looms, sewing machines, cranes, fork lift equipment, etc. *Cranes, which don't form a part of machinery, should be treated as transport equipment.* There are some items, which create confusion for classifying them under this item. For example, electric installations for running the plant, molasses tanks in case of sugar factory, moulds fitted to machinery in plastic and other industries, water tank for curing in cement factory, air conditioners fitted to machinery or used for cooling the machinery etc. all such items will be considered as plant and machinery;
- A refrigerator is not a plant and machinery, but there are some medicines which after manufacture are to be kept in refrigerator so that it does not lose its medicinal property. In such a case the refrigerator is considered as plant and machinery in medicine producing factory;
- If a machine owned by the factory is partly used by it and partly rented out during the accounting year, such asset is to be included as part of fixed asset of the factory. *In case the machine is completely rented out during the accounting year, then it is to be considered as asset in Block C, and also the rent received for it is to be considered in Block G, item 6 (rent received for plant & machinery and other fixed assets);*

- If machinery is received as gift and installed without incurring any capital expenditure by the factory, ***the total value of the gift, installation charges and other incidental charges are to be recorded against Plant & machinery;***
- Own constructed Plant & Machinery, if installed, ***is to be evaluated at cost as in the books of the factory.*** Total value of all plant and machinery acquired on hire purchase basis is to be included against Plant & Machinery. ***Advance payments made for the purchase of machinery (not in possession during the reference year) will not be recorded.***

3.4.4 Block C: item 4: transport equipment: These are used for transporting employees and goods of the factory. They include locomotive, trucks, trailers, cars, ropeways, buses and lorries. Note that:

- If a factory has a cart driven by animals for transport purpose then ***the cart along with the animal will be considered here;***
- *When a crane forms specially a part of plant and machinery it should be considered against item 3, otherwise it will be considered here;*
- If the same transport equipment is used for the factory as well as for other purpose, the question of segregation arises. *For example, if same transport equipment is used to carry agricultural product and factory product of the same concern, segregation must be on the basis of mileage.*

3.4.5 Block C: item 5: computer equipment incl. software: This will include the cost of computers and the equipment along with the software used to run it. This will also include the cost of UPS, CVT, Printers, etc. The customized software or database software **may also be included here.** ***The computers that are used to run the plant and machinery or used as plant and machinery, like in printing industry, should be included against the plant and machinery.***

3.4.6 Block C: item 6: pollution control equipment/ environment improvement equipment: This is in context of thrust on pollution control equipment or environment improvement equipment to be taken by factories. This refers to machinery installed for pollution control as well as environment improvement. Some of the commonly used equipments are packed towers, carbon absorbers, fabric filters, catalytic reactors, etc. Details of such items may be found in the item master.

3.4.7 Block C: item 7: other fixed assets: This will include all other assets which are not included in Items 1 to 5 such as loose tools with a normal life of more than one year, library, laboratory, apparatus, trade mark instrument, hospital equipments, furniture fixture, office equipment, weigh bridge, room air conditions, heater, fans, PABX, electrical fittings. This will also include other constructions such as bridges, platforms, pipelines, telephone and other communication lines, tube wells etc. that are external to the factory buildings but within the factory compound. Fire Extinguisher

vehicle should be recorded here. In some balance sheet an item 'land and development' might have been shown. In such cases, value of land and expenditure on development are to be separated. In cases where the electric installation charges paid also includes the charges for the electrical fittings that are of a longer life of more than 1 year, the value of electrical fittings of more than one year life should be apportioned and recorded against 'other fixed assets' in Block C, and remaining part of the values should be recorded in Block F.

3.4.8 Block C: item 9: capital work in progress: The value of all assets capital in natures, which are under construction or installation but not capitalized, will be shown here. The net balance of fixed capital work in progress i.e. (Col 7 - Col 3 of item 9), if positive, will be reflected in item 4 in Block G i.e. value of own construction.

3.4.9 Block C: column 3: opening balance: The book value or re-valued gross figures of the fixed assets (whenever revaluation is carried out) as on the opening day of the accounting year is to be reported. In case the theoretical working life of the assets expires, then the value should be recorded as Re 1/-.

3.4.10 Block C: columns 4 & 5: value addition during the year: Fixed assets acquired from others during the year, whether fully paid or not, should be valued at the full cost incurred, i.e., at the delivered price plus the cost of installation including any fees and taxes paid *but excluding financing costs relating to the period after the commencement of production*. This would include:

- (1) value of all purchases of materials on capital account during the accounting year,
- (2) amount paid for service charges during the accounting year on capital account,
- (3) value of all fixed assets, whether fully paid or not, taken on capital account during the accounting year.

3.4.10.1 All items purchased, old or new, including those constructed by the factory and capitalized will be recorded under Columns (4) & (5).

3.4.10.2 Fixed assets produced by the establishment for its own use should be valued at the cost of all work put in place including any overhead costs allocable to this work. In case any re-valuation of the fixed assets has been carried out during the accounting year, the extent of its impact may be included under Column (4). However, the extent of total re-valuation shall be shown with a footnote under the block.

3.4.11 Block C: column 6: deductions and adjustments during the year: Gross value of the fixed assets sold, discarded or otherwise disposed off during the year is to be entered. Book value of the sale or that value which is recorded in the books of accounts for the discarded item needs to be reported.

3.4.11.1 *Data must be furnished in respect of Columns 4, 5, 6, 9, 10, 12 and 13, if not available for all the columns of the block as envisaged.*

3.4.12 **Block C: columns 8-11: depreciation:** The following may be noted:

- 1) Depreciation up to the beginning of the year and that provided during the year should be shown respectively, under Columns (8) and (9). Depreciation relating to assets sold/discarded /otherwise disposed off during the year should be shown under Column (10);
- 2) The depreciation allowance provided for the accounting year is to be recorded here. All items, which have a normal life of more than a year and are used for the manufacturing process or incidental to it, are allowed some allowance each year; the allowance thus claimed is recorded as depreciation. In addition to the normal allowance, for new item an allowance known as initial allowance for investment is allowed. They should not be shown in the return for the purposes of Block C, as depreciation. Where the factory was following a system of depreciation, but provision has not been made for a period of time, the estimate of depreciation for the accounting year is to be made as per the method followed by it. On the other hand, if depreciation figures for preceding year(s) are reported along with the depreciation provided during the year, depreciation provided during the year should be apportioned by some means and same may be reported in Column 9. Generally, depreciation is most often calculated using any one of the following methods as described below:

A. Straight Line Method: In this method depreciation is constant every year over the working life of the asset. Here, depreciation is calculated using the following formula:

Rate of Depreciation $R = [(C-S)/n]/C \times 100$, where

C =total original cost including the price of purchase or construction of the asset in consideration and the cost of installation.

S =Residual or Scrap value, if any, which is the estimated proceeds expected from the disposal of the asset at the end of its working life and

n =an estimate of its working life in years.

The value of a fixed asset that has completed its theoretical life should be recorded as Re 1/- ;

B. Written Down Value Method: Under this method, depreciation is charged on the reducing value of the asset as at the beginning of the accounting year. Here depreciation charged on the asset varies over the years. Depreciation is calculated in this method using the formula as given below:

Rate of Depreciation $R = (1 - \sqrt[n]{S/C}) \times 100$

- 3) If no depreciation has been allowed for an item of fixed assets, the same may be estimated using the straight line method as described above.

- 4) *If a company calculates depreciation as per the Companies Act, 2013 and also, calculates as per Income Tax Act, 1961 for submitting Income Tax-return, depreciation calculated as per the provision of Companies Act, 2013 is to be considered for ASI purpose.*

3.5 Block D: working capital and loans

3.5.0 Working capital represents the excess of total current assets over total current liabilities. The item-wise descriptions are given below.

3.5.1 Block D: item 1: raw materials & components and packing materials: Packing materials will find place here. Stock of unfinished/semi-finished goods purchased from the market for further processing will be included here. Materials supplied by the factory to others for processing will be included but materials supplied by others to the factory for processing will not be considered. Stock of construction/building materials will be taken against this item. The stocks of raw material for which payment has been made but material is yet to be delivered should be taken in this item (such as material in transit). The raw material which is left after the consumptions in input process should be taken. In most cases this needs to be bifurcated from the balance sheets after probing with the factory personnel. The examples of this kind are given in Ready Reckoner. In case of printing press doing job work and producing printing materials on customers' orders with bulk of materials supplied by customers, stock of ink and other papers of the factory may be taken into consideration in this item. Stock of 'trading goods' should be recorded against this item. Raw material scrap and packing material scrap are to be included here.

3.5.2 Block D: item 2: fuels & lubricants: This will include all fuels and lubricants in stock. This will also include stocks of furnace oil, coal, coke, diesel, petrol, kerosene, LPG, lubricant oil, grease etc. In most cases this needs to be bifurcated from the balance sheets after probing with the factory personnel.

3.5.3 Block D: item 3: spares, stores & others: Include stores, spares, loose tools of short life, office supplies, material required for repair and other consumables. Scrap, other than raw material scraps and packing material scraps, such as consumables scraps are to be included here. In most cases this needs to be bifurcated from the balance sheets after probing with the factory personnel.

3.5.4 Block D: item 5: semi-finished goods/work in progress: It includes the values of materials which has been partially processed and are not usually sold without further processing. Goods under process from the material supplied by others are not to be taken here. ***This item excludes value of semi-finished fixed assets for the use of the factory.*** In the case of **partially completed 'job work'** done by the unit, labour cost incurred is sometimes shown as '*semi-finished good*' in balance sheet. *In such cases, if the expenditure is actually incurred (paid), then it should be taken in Block F. If it is payable (not yet paid) it should be taken in Block D as 'other current liability'.* **In no case it should be recorded as 'semi- finished goods'.**